

pose your "average earnings" are reduced by taking the zero years into account. Instead of receiving, say, \$1,100 a month from Social Security, you and your spouse may get only \$800 or \$900.

Remember that these numbers are solely to illustrate the calculation. Congress will change the law. Earnings, taxes, and benefits change with inflation. If you have a working spouse, the calculation changes. So I may be overly optimistic or pessimistic in my illustrative numbers.

But the point is clear. You'd never *choose* to pay Social Security tax just to increase your retirement check. By working an extra twenty years you'll pay, say, \$150,000 of additional tax, depending on how high Congress pushes the rates. That \$150,000 can double or triple with compounding over twenty or more years. If your spouse works too, your combined additional Social Security tax may approach a million dollars. Paying that much tax is a ridiculous way to get an extra few hundred dollars, or even an extra few thousand dollars, of Social Security benefits each month. Other things being equal, you're better off to retire young and avoid the tax.

Some actuaries say that the Social Security system is broke. That we shouldn't count on a dime when we reach retirement age. And I could be wrong about real interest rates. Real rates could drop and stay low "forever." Your company's pension plan may pay peanuts. Your parents and Aunt Joslyn could cut you off without a dime. You could wind up at age 55 with \$400,000 of nearly worthless dollars. What happens then?

I guess you'd have to go back to work.

WORK, RETIRE, GO BACK TO WORK

The chances of being forced back to work for financial reasons are remote. Too many bad things have to happen for too long a time. You may *choose* to go back to work. Chapter 7 gives examples of retirees who make money, sometimes a